BRITISH MANAGEMENT UNIVERSITY

PRINCIPLES OF MACROECONOMICS

MOCK FINAL TEST · 2026 — MOCK ANSWERS

Section A · MCQ Answer Key

Question	1	2	3	4	5	6	7	8	9	10
Answer	D	B	A	B	A	B	A	B	A	B

Q1 → Answer: D

Social Security payments are transfer payments — they redistribute existing income, not reward new production. GDP only measures newly produced goods and services.

Q2 → Answer: B

Real GDP = quantities × base-year prices → rises 10%. Nominal GDP = quantities × current prices. Since quantities ↑10% and prices ↓10%, the effects roughly cancel: Nominal ≈ unchanged.

Q3 → Answer: A

The CPI uses a fixed basket and doesn't allow substitution → it overstates the true cost of living. This is called 'substitution bias' and is a well-known limitation of CPI.

Q4 → Answer: B

Structural unemployment arises from a permanent mismatch between skills workers have and skills employers need — not from a temporary recession (cyclical) or job search (frictional).

Q5 → Answer: A

Long-run productivity growth requires better technology and more human capital (education, training). Temporary demand shocks or inflation changes do not raise the production frontier.

Q6 → Answer: B

Higher reserve requirement → banks must hold more reserves → less money available to lend → the money multiplier falls → money supply decreases.

Q7 → Answer: A

Greater investment optimism → higher planned investment I↑ → Aggregate Demand shifts right → higher output and price level in the short run.

Q8 → Answer: B

During a boom with high inflation the output gap is positive. Contractionary fiscal policy (↓G or ↑T) reduces aggregate demand and brings inflation under control.

Q9 → Answer: A

A currency that 'doubles in value' has appreciated. A change in the rate at which one currency trades for another is the nominal exchange rate.

Q10 → Answer: B

A tariff is a tax on imports → generates government revenue. A quota limits quantity directly but produces no tax revenue (quota rent goes to importers or foreign exporters).

Section B · Fill in the Gaps — Answers

11. Answer: Recessionary gap

When actual output falls below potential output ($Y < Y^*$), the economy has a recessionary gap. Unemployment rises above the natural rate and price level tends to fall.

12. Answer: Deficit

A budget deficit occurs when government expenditure (G) exceeds tax revenue (T). $G - T > 0$ → government must borrow, increasing public debt.

13. Answer: Inflation

Inflation is a sustained rise in the general price level. Measured by CPI or GDP deflator, it erodes purchasing power and affects savings and investment decisions.

14. Answer: Natural

The natural rate of unemployment = frictional + structural unemployment. It exists even when the economy is at full output — cyclical unemployment equals zero at this point.

15. Answer: Crowding out

Heavy government borrowing competes with the private sector for loanable funds → real interest rates rise → private investment falls, partially offsetting the fiscal stimulus.

Section C · Extended Questions — Model Answers

Question 16 (25 marks)

a) Type of gap:

A recessionary gap arises. The housing collapse reduces household wealth and confidence → consumption falls (C↓) → Aggregate Demand shifts left → actual output (Y) falls below potential output (Y^*). Unemployment rises above the natural rate.

b) Short-run & long-run effects:

Short run: AD_1 → AD_2 (leftward shift). Real GDP falls, unemployment rises (cyclical unemployment appears), price level falls.

Long-run self-correction: Lower demand → wages and input costs fall → SRAS shifts right → economy gradually returns to Y^* at an even lower price level. Unemployment returns to the natural rate, but the process can be slow.

c) Stabilisation policy — Expansionary Fiscal Policy:

Implementation: Government increases spending (G↑) and/or cuts taxes (T↓). This raises disposable income → C↑ → AD shifts right back toward AD_1.

Short run: Real GDP rises, unemployment falls, price level rises slightly. Long run: Economy returns to Y^* faster than self-correction. Risk: higher public debt, potential crowding out of private investment.

d) AD-SRAS-LRAS diagram:

• LRAS is vertical at Y^* — determined by factors of production, not the price level. • Initial equilibrium: AD_1 intersects $SRAS_1$ and LRAS at (Y^*, P_1). • Shock: AD shifts left to AD_2 → short-run equilibrium at ($Y_2 < Y^*$, $P_2 < P_1$) — recessionary gap. • Policy: Government shifts AD right ($AD_2 \to AD_3 \approx AD_1$) → equilibrium restored at (Y^*, P_3).

Question 17 (5 marks)

Given: Private saving (Sp) = \$520 bn | Budget deficit = \$80 bn → Public saving (Sg) = −\$80 bn | NCO = \$150 bn

National Saving: **$S = Sp + Sg = 520 + (-80) = \$440$ billion ✓**

Investment: **$I = S - NCO = 440 - 150 = \$290$ billion ✓**

Key identity (open economy): $S = I + NCO \rightarrow I = S - NCO$

Question 18 (25 marks)

Step 1 — Disposable income:

$Yd = Y - T = 9{,}000 - 2{,}000 = 7{,}000$

Step 2 — Consumption:

$C = 500 + 0.75 \times 7{,}000 = 500 + 5{,}250 = 5{,}750$

Step 3 — Private Saving:

$Sp = Yd - C = 7{,}000 - 5{,}750 = 1{,}250$ ✓

Step 4 — Public Saving:

$Sg = T - G = 2{,}000 - 2{,}500 = -500$ ✓ (budget deficit)

Step 5 — National Saving:

$S = Sp + Sg = 1{,}250 + (-500) = 750$ ✓

Step 6 — Investment (closed economy: S = I):

$I = 750$ ✓

Step 7 — Equilibrium real interest rate:

$I = 2{,}500 - 120r \rightarrow 750 = 2{,}500 - 120r$

$120r = 1{,}750 \rightarrow r = 1{,}750 \div 120 = 14.58\ \%$ ✓